CANON MEXICANA, S. DE R.L. DE C.V.

TITULO: **POLÍTICA DE SERVICIOS FINANCIEROS**					
REF: SERVICIOS FINANCIEROS-001	INICIO VIGENCIA			VERSION	PAGINA 1 DE 6
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	31	05	18	**1 .0**	

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1. OBJECTIVE

The present policy has the following objectives:

a) Make the knowledge of the company the procedures, requirements, response times and expected results of the Financial Services area.

b) Have a clear work flow for the areas involved that allows the company to achieve objectives in a timely manner.

c) Clearly establish the response times and approval process.

d) Define the basic requirements to request an operation through the Financial Services area

II. SCOPE

This policy is applicable to all business opportunities generated through our divisions of BISG and ITCG where it is required to implement a financial scheme that facilitates the purchase decision making to the customer, thus displacing our technology obtaining financial returns in each operation trying to mitigate all visible risks to maintain a healthy Portfolio.

III. DEFINITIONS

For the purposes of this policy, the following definitions shall be understood:

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Leasing: Lease, use and temporary enjoyment of a good.

ELABORADO POR	AUTORIZADO POR:
ÁNGEL OLIVAS FINANCIAL SERVICES MANAGER FECHA: 31/05/18	MASAHARU CHOKI PRESIDENT & CEO FECHA: 31/05/18

End User: End user beneficiary of the use and enjoyment of Canon technology.

Dealer: Distributor, strategic business partner.

Risk Management: Management of risk assessment in a proposed business of leasing, weighting of visible risks and action plan to mitigate these risks.

Portfolio Management: Administration, monitoring and management of the leasing business portfolio.

Asset Management: Activity related to the management, valuation of the financed assets.

Profitability: Expected benefit in a leasing business.

EOL: End of the Lease

Compliance: Compliance Process with the current KYC regulations, Prevention of Money Laundering, Prevention of terrorism financing.

KYC: Know Your Customer Policy.

Compliance Officer: Person in charge of the Due Diligence process of all operations originated through the area, reporting of vulnerable operations to the SAT, implementing KYC policies and prevention of money laundering and terrorism financing. Function in charge of the Financial Services Manager.

IV. DOCUMENTATION OF THE FINANCIAL SERVICES AREA.

Proposal: Document by means of which Canon Servicios Financieros presents the customer, upon request of the Sales representative, an indicative scenario of how we could translate the terms and conditions of a Financial Leasing business. It is required signed by the customer.

Application: Format prepared by Canon Servicios Financieros to be filled by the customer where qualitative information is required from the customer who also serves as KYC for better knowledge of our client and its operation. Original signed by the client's legal representative is required.

Privacy Notice: Document prepared by Canon to be signed by the customer that contains our notice which is mandatory and which is also on our website. Original signed by the client's legal representative is required.

Check List: List of basic information that is required of a client to be evaluated.

Executive Summary: Document containing qualitative, quantitative information, financial and market reasons through which Financial Services recommends the approval of a leasing business to the empowered Committee.

Leasing Committee: Board empowered to which the business opportunities recommended by Financial Services are presented, this Committee is composed of:

- President & CEO
- Director Sr. Administration
- Director Mr. BISG
- Director of Finance and Accounting

Initial payment: It is the sum of concepts that the customer must pay once the business has been approved by the Committee and in parallel with the signature of the Legal Documentation. These concepts may include:

- Down Payment
- Opening Fee
- Contract Registration
- Security Deposit

V. GENERAL GUIDELINES.

1.- Proposal.

The request for a Proposal is the responsibility of the BISG sales staff through the commercial representative, who, in order to obtain a proposal, gives key information about the opportunity:

- Name of the prospect
- Equipment to finance
- Amount of the business
- Relevant information (Market, customers, competitors, etc.).

The response time to have a proposal ready is 24 hours maximum.

2.- File Integration.

Once the proposal has been accepted by the customer, it must integrate the credit and legal file according to the current Check list in order to complete the study and risk assessment of the operation.

According to the review of the information and the evaluation of the client's financial performance, it is possible that additional information may be requested.

3.- Risk Assessment.

With the complete information of the customer, the evaluation process begins so that, based on the customer's financial performance, the Financial Services area can structure the business considering the opportunities and possible risks involved in the business, some of the factors that are taken into account. account during the risk assessment are:

- Company history
- Financial performance
- Legal and shareholder structure
- Market
- Competitors
- Financial reasons
- Credit Bureau record
- Possible risks
- Future business opportunities.

The maximum response time is six business days.

4.- Approval / Declination

If the business is recommended by Financial Services, the Executive Summary is prepared with the recommendation. If the business is not recommended and it is suggested to decline the opportunity, a note is made to the members of the Committee via e-mail, in both cases the Sales Representative and the Manager are informed.

Once the Executive Summary has been presented to the Committee, the latter may comment or comment on it, if there is no comment, the maximum deadline to count on the signatures of each member of the Committee is 24 hours.

5.- Legal Documentation

Once the business is formally approved by the Leasing Committee, all legal documents are drawn up, and Financial Services is in charge of the preparation. With the review of the Legal Department, the documents that are issued in triplicate are:

- Contract
- Annex

- Amortization Table
- Promissory Notes
- Ratification Act *

* The Ratification Act is issued by a Public Notary to whom once signed all documents are delivered three originals signed by the parties to formally start the process of Ratification and Registration in the RPPC.

Once the transaction is ratified, the Public Notary gives us two original games, they safeguard an original game. One is delivered to the customer and another is kept in the Canon safe.

The process of signing the Legal Documentation is in charge of the Sales Representative with the support of Financial Services.

The response time to deliver all Legal Documentation to the Sales Representative is a maximum of 48 hours.

6.- Equipment Order.

Once all the legal documents are signed and the Initial Payment is made, the Order of the Equipment (Product Control) is made after OK by Financial Services. The delivery time of the equipment depends on its availability.

7.- Acceptance Form.

Once the equipment is delivered and installed on the client's site, the client must sign the Acceptance Form, which is the trigger to recognize a business as Revenue and corresponding record of the operation in the company's books, at this time the business is part of the Financial Services Portfolio.

A business like Revenue will be recognized without having the Acceptance Form exclusively with the approval of the President of the company.

8.- Portfolio Management.

When the operation is already part of the company's Portfolio, a monthly monitoring of the performance of the Portfolio is done, some of the indicators that are monitored are:

- Portfolio size and mix
- Pat Due Portfolio ratio
- Spreads.

The behavior of the Portfolio is reported to the Presidency on a monthly basis and to the other members of the Committee on a quarterly basis.

9.- Guard of Information

As part of the Compliance and Due Diligence process all closed operations must be safeguard in a secure place within the office and also have a digital backup

10.- Report of Operations to the SAT

Every 17th of the month all transaction closed the previous month must be reported to the SAT as a regulatory measure within the Compliance process, in this report must include all the relevant information of our customer and its shareholders gathered through the KYC Process.

Annexes:

1. Proposed Format
2. Lease / Credit Application Form
3. Privacy Notice Format
4. Check List Format (May 2018)
5. Executive Summary Format
6. Lease Agreement Format